INS-003 · RMA DESIGN AND ISSUER STRATEGY

The two open structural decisions, with cited precedents and a recommended path | HGF Management Company | July 2026

The two open structural decisions: how to build the Rate and Method of Apportionment, and whether to use a JPA.

Prepared for Dennis Lanni | HGF Management Company | July 2026

Status: working recommendation for counsel review. This memo maps the legal landscape from cited sources and recommends a path. Final structuring decisions belong to bond counsel and a special tax consultant.

The short version

RMA: Do not write a new RMA for every deal. Commission one program RMA template, built around tax zones, where each annexed project becomes its own zone with its own maximum tax table. This is a proven pattern in California CFDs, and it is the single biggest lever for keeping per-project cost inside the founder's $5,000 to $30,000 target.

JPA: Not yet. Run the pilot with the City of Sacramento as issuer, write every document issuer-neutral, and set a decision gate at roughly the third jurisdiction. Form or join a JPA only when specific triggers fire. The two paths use the same RMA template either way, so nothing built now is wasted.

PART A: HOW TO DO THE RMA

A.1 What the RMA is, legally

The Rate and Method of Apportionment is the tax formula of a CFD. It is adopted as an exhibit to the city's Resolution of Intention and Resolution of Formation, approved by the landowner election, and it controls every dollar levied afterward.

The statute sets four anchors:

1. **Section 53321** requires the resolution of intention to state the rate and method "in sufficient detail to allow each landowner to estimate the maximum amount" they will pay. The maximum tax must be knowable on day one.
2. **Section 53325.3** requires the tax to be apportioned on a reasonable basis and it may **not** be based on property value. RMAs therefore tax by lot, acre, square foot, or unit, never by assessed value.
3. **Section 53321(d)** protects homeowners: once a residence has an occupancy permit, its special tax cannot be increased more than 10 percent because a neighbor went delinquent. Every purchaser will look for this recital.
4. **Section 53321.5** requires a public hearing report describing the district and the tax before formation.

Collection runs like ordinary property taxes on the county roll (with a reserved right to direct-bill), and when the obligation ends, a Notice of Cessation of Special Tax is recorded under Section 53330.5.

A.2 The design pattern INSITE should copy: one template, many zones

The problem to solve: INSITE needs one Master CFD per city, but every annexed project has a different note size, lot count, and closing date. One flat citywide tax cannot fit them.

California practice already solved this. Three verified examples:

- **City of Escondido CFD No. 2020-1** annexes territory by a one-page landowner **Unanimous Approval** form. Its RMA states that the initial territory is "Zone 2020-1" and that "additional Zones may be created" as territory annexes, each with its own tax rates. The signing landowner is treated as the qualified elector for constitutional purposes, so no separate election is needed for an annexation.
- **City of Chula Vista CFD No. 97-2** levies by improvement area and annexation number. The document "Improvement Area C, Annexation No. 11" carries its own maximum tax by land use class, its own CPI-or-zero escalator, and its own four-step apportionment method.
- **City of Roseville, The Ranch at Sierra Vista CFD No. 1** was formed with a designated **Future Annexation Area** on the recorded boundary map, and its resolution states, citing **Section 53339.3(d)**, that annexing territory may carry a **different rate and method set out in its Unanimous Approval**, provided the new territory's tax does not pay for facilities financed by bonds the district already issued.

That last point is the legal keystone for INSITE: **each project's note stands alone.** Zone A's homeowners pay Zone A's debt. A new annexation never inherits someone else's obligations, and Section 53321(d) plus zone separation is how a purchaser gets comfortable that small notes do not cross-contaminate.

A.3 Anatomy of the INSITE program RMA template

One document, drafted once by a special tax consultant and blessed by bond counsel, containing:

1. **Definitions.** Issuer-neutral defined terms ("Legislative Body," "Administrator," "Zone") so the same template works for any city or a future JPA.
2. **Classification.** Each fiscal year, parcels are classified Developed, Undeveloped, or Exempt (public property, easements), following standard practice.
3. **Maximum Special Tax, by zone.** The template holds the machinery; each annexation adds a short exhibit: the parcel list and a one-page maximum tax table sized to that project's note. This exhibit is generated from the INSITE DCF workbook inputs (lot count, note amount, rate, term, admin budget), which is what makes per-deal document cost small.
4. **Special Tax Requirement.** The amount levied each year equals debt service on the zone's note, plus administrative expenses, plus reserve replenishment, plus an allowance for expected delinquencies. This four-part definition follows the standard used in existing CFD administration reports.
5. **Method of apportionment.** Stepped levy: Developed property first at up to 100 percent of its maximum, then Undeveloped property if more is needed, mirroring the Roseville pattern.
6. **Escalator.** Fixed 2 percent, or CPI with a zero floor, per zone. Chula Vista's CPI-or-zero language is a drafting model. For fixed-rate level-payment notes, a small escalator on the maximum (not the actual levy) preserves cushion without raising bills.
7. **Backup and changed-lot provisions.** If a final map records fewer or more lots than underwritten, the per-lot maximum recalculates so zone revenue capacity is preserved.
8. **Prepayment formula.** A defined payoff calculation so any owner can retire the lien at sale or refinance. Purchasers and title officers will ask for this on day one.
9. **Term.** Levied until the zone's note plus admin costs are fully paid, then cessation notice recorded.
10. **Section 53321(d) recital, appeals process, and manner of collection** (county tax roll, with direct-bill reserved).

A.4 Sizing logic, with an illustrative example

All figures below are illustrative arithmetic, not quotes. A 10-lot annexation financing $250,000 of fees with a 30-year level-payment note at 6 percent carries annual debt service of about $18,200. Add roughly $3,000 for annual administration and a 10 percent coverage cushion on debt service, and the zone's annual Special Tax Requirement is about $23,000, or roughly **$2,300 per home per year**, before any escalator. Two sanity checks apply before a zone exhibit is final: the value-to-lien test (4 to 1 program policy over the 3 to 1 floor of Section 53345.8) and the issuer's total-tax-burden policy, since many issuers cap the combined property tax plus special taxes as a share of expected home price. CSCDA's own policy caps the total tax burden on an owner-occupied home at 2 percent of expected value at completion; confirm the target city's specific cap with the special tax consultant rather than assuming one.

A.5 Who does the work, and the process

INSITE does not write the RMA in-house. The industry roles:

- A **special tax consultant** drafts the RMA, runs the numbers, prepares the boundary map and future annexation area map (recorded under Streets and Highways Code Section 3110), and later prepares each annual levy.
- **Bond counsel** confirms the RMA and annexation mechanics satisfy the Act and issues the transaction opinions.
- **INSITE** supplies the standardized inputs, generates each zone exhibit from the workbook, manages the calendar, and administers annually.

Formation sequence, one time per city: engage consultant and counsel; draft template RMA plus Unanimous Approval form plus boundary and future annexation maps; city adopts the Resolution of Intention under 53321; hearing report under 53321.5; public hearing; formation and landowner election; record the Notice of Special Tax Lien. Per project afterward: appraisal, zone exhibit, landowner signs the Unanimous Approval, council approves the annexation, lien amendment records, note funds.

The one-time template cost is the real money; per-annexation drafting becomes exhibit generation. That is the economic point of the whole design.

PART B: JPA OR DIRECT?

B.1 What a JPA is

Under the Joint Exercise of Powers Act, Government Code Section 6500 and following, **two or more public agencies can create a separate public entity by agreement** and jointly exercise any power they share, expressly including the authority to levy fees, assessments, and taxes (Section 6502). The JPA's debts belong to the JPA, not its members. California has well over 1,800 of them. Since 2017, JPAs providing municipal services must file their agreements with the county LAFCO or they are barred from issuing bonds. Statewide finance JPAs like CSCDA and CMFA operate on an associate-membership pattern: a city joins by adopting one resolution and executing a short membership agreement, after which the JPA can issue for projects in that city. ABAG's Finance Authority for Nonprofit Corporations shows a JPA forming and administering CFDs directly, including annexation areas with their own RMAs.

B.2 The three real options

Option 1: City as issuer, direct. Each city forms its own Master CFD; INSITE administers under contract. This is the ordinary pattern for most CFDs in the state. Pros: fastest possible pilot, the Sacramento relationship already exists, the city keeps full control, and the story to a council is simple. Cons: formation repeats in every new city (six-plus months each, per the state Debt Financing Guide), each city's policies differ, and city staff bandwidth becomes the throttle. Small cities without CFD experience may simply decline to be an issuer.

Option 2: Join forces with an existing JPA. CSCDA and CMFA already have statewide membership and could, in theory, host an INSITE-like program. The conflict is obvious: they run SCIP and BOLD. Partnering makes INSITE a vendor inside someone else's brand, with program terms set by the competitor's board. Keep this as a plan C, or as a future exit or distribution path, not the launch structure.

Option 3: Form a new JPA. Two willing public agencies (for example, a city and a county, or two small cities) sign a joint powers agreement creating, say, a small-subdivision infrastructure finance authority. The JPA becomes the single statewide issuer; every later city joins by one associate-membership resolution instead of forming its own district program; one board, one set of local goals and policies, one Master CFD architecture replicated per member. This is exactly how CSCDA and CMFA scaled. Costs: finding two founding agencies, standing up governance, LAFCO filing, counsel fees, and the credibility burden of a brand-new issuer asking a bank to buy its first note.

B.3 The decision, framed honestly

The JPA is the better **end state** for scale: one issuer, one policy set, one membership resolution per new city. It is the worse **starting point**: it adds an entity, a board, and a credibility question in front of a pilot that already has a willing city and a live 27-lot project. The founder's instinct (hybrid) is right, and the July 8 email thread already leans this way.

Recommendation: sequence it.

1. **Pilot: City of Sacramento as issuer.** Fastest close, cleanest council story, uses the existing relationship and the retired county CFD staffer's guidance.
2. **Build everything issuer-neutral now.** The RMA template, Unanimous Approval form, annexation package, and administration agreement all use defined terms so the issuer can be a city today and a JPA tomorrow without redrafting. This costs almost nothing extra and preserves both futures.
3. **Decision gate at jurisdiction three.** Form (or join) a JPA when any two of these triggers fire: (a) two or more additional cities want the program but decline to act as issuer; (b) a credible founding pair of public agencies is willing to sign a joint powers agreement; (c) measured per-city formation friction (calendar months or fees) exceeds what the pipeline supports; (d) a capital partner says a single repeat issuer materially improves pricing or appetite.
4. **If the gate opens,** the JPA adopts the same local goals and policies (4 to 1 value-to-lien, burden caps), forms its own Master CFD per member jurisdiction or one multi-jurisdiction structure as counsel advises, and INSITE's administration contract novates to the JPA.

B.4 Questions this memo sends to bond counsel (also logged for the question batch)

1. Confirm the per-zone note structure under Section 53339.3(d): separate notes secured solely by their zone's special taxes inside one Master CFD, with no cross-collateralization.
2. Confirm the Unanimous Approval annexation path (Escondido-style) satisfies election requirements for each annexation in the target counties, and what the county recorder needs per lien amendment.
3. City of Sacramento's existing local goals and policies for CFDs: do they exist, do they need amendment for fee-financing zones, and what total-tax-burden cap applies?
4. If a JPA is formed later: LAFCO filing scope, and whether a validation action under Code of Civil Procedure Section 860 is advisable for the first note.
5. Whether Sacramento County should be a second founding conversation now, given the unincorporated-area pipeline.

B.5 Sources

- Gov. Code 53321 detail requirement and formation process: https://legalclarity.org/mello-roos-districts-in-california-explained/ and Roseville Resolution No. 18-346: https://roseville.novusagenda.com/AgendaPublic/AttachmentViewer.ashx?AttachmentID=11768&ItemID=4859
- 53321(d) ten-percent protection: City of Riverside CFD 2014-2 Official Statement: https://www.riversideca.gov/finance/investor/pdf/investorreports/AD-2014-2/OS-CFD-2014-2.pdf and Roseville Fiddyment Ranch CFD No. 5 Official Statement: https://www.roseville.ca.gov/Documents/Departments/Finance/Special%20Taxes%20and%20Assessments/CFD%20Mello%20Roos%20Bond%20Districts/%20Fiddyment%20Ranch%20CFD%205/%202021%20Bond%20Series/Official%20Statement%20Series%202021.pdf

- Zone-per-annexation and Unanimous Approval as election: City of Escondido CFD 2020-1 form: https://escondido.gov/DocumentCenter/View/2034/Unanimous-Approval-Form-PDF
- Improvement area and annexation-number RMA with CPI-or-zero escalator: Chula Vista CFD 97-2, Improvement Area C, Annexation No. 11: https://pub-chulavista.escribemeetings.com/filestream.ashx?DocumentId=25426
- Future Annexation Area and 53339.3(d) different-RMA-in-Unanimous-Approval mechanics: Roseville Resolution No. 18-346 (above)
- Special Tax Requirement components and JPA-issued CFD precedent: ABAG Finance Authority for Nonprofit Corporations CFD No. 2006-2 administration report: https://abag.ca.gov/sites/default/files/documents/2026-04/mint_plaza_admin_report_2025_final.pdf
- Stepped apportionment (Developed first): Roseville Fiddyment Ranch OS (above)
- JPA law, separate entity, 1,800+ JPAs: https://bbklaw.com/resources/the-ins-and-outs-of-joint-powers-authorities-in-california ; Gov. Code 6500 text: https://leginfo.legislature.ca.gov/faces/codes_displaySection.xhtml?lawCode=GOV&sectionNum=6500 ; Section 6502 tax power: https://californiaglobe.com/articles/creating-a-joint-powers-authority-in-legislation/ ; LAFCO filing requirement: https://www.marinlafco.org/joint-powers-agencies ; associate-membership pattern: https://www.icfauthority.org/governance/jpa-agreement/
- CFD formation timeline (six-plus months) and Mello-Roos mechanics: California Debt Financing Guide (CDIAC), cited in the Claims Register (A1)
